

CAPITAL ONE, NA v. ANTONIO GALLEGOS
Case No. CL25-04170

Motion to Deem Matters Admitted

TENTATIVE RULING:

Plaintiff's unopposed Motion to Deem Matters Admitted by Defendant ANTONIO GALLEGOS is GRANTED. Defendant GALLEGOS shall be deemed to have admitted all propounded Requests for Admission (Set One).

The proposed order lodged with the court will be processed forthwith.

LADY BENJAMIN P.D. CANNON, A.S.C.E. v. DAVID, et al.
Case No. CU25-01448

Demurrer by Defendants STEPHEN DAVID and MARK MITCHELL to Plaintiff's Second Amended Complaint

TENTATIVE RULING

STEPHEN F. DAVID ("DAVID") and MARK MITCHELL ("MITCHELL") demur to the second amended complaint ("2AC") including the breach of contract cause of action against DAVID; the fraud-based causes of action alleged against both DAVID and MITCHELL; and the unfair business practices cause of action alleged against both DAVID and MITCHELL. As to the fraud-based causes of action and unfair business practices cause of action, the demurrer is SUSTAINED. As to the breach of contract cause of action, the demurrer is OVERRULED.

Legal Standard on Demurrer. "The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint is sufficient if it alleges ultimate rather than evidentiary facts, but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 551, fn. 5 [ultimate facts sufficient].) The Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Requests for Judicial Notice. On demurrer, the court is limited to considering the face of the complaint and any matters of which it can properly take judicial notice. (CCP § 430.30, subd. (a); 1 Edmon & Karnow (Weil & Brown 2025), [The Rutter Group 2025] Civil Procedure Before Trial, § 7:8, p. 6.) A court may take judicial notice of the contents

of its own files and orders. (Evid. Code, § 452.) A court cannot take judicial notice of factual findings in a different court's opinion. (*Kilroy v. State of California* (2004) 119 Cal.App.4th 140, 148 [not proper to take judicial notice of factual finding by different court which is different than judicial notice to determine whether res judicata and collateral estoppel apply].) Defendants' requests for judicial notice far exceed the court's authority and Defendants' moving papers contain numerous factual arguments which the court cannot and does not consider.

Breach of Contract. The elements of a cause of action for breach of contract include the existence of a contract, the plaintiff's performance or excuse for nonperformance, the defendant's breach, and resulting damages to the plaintiff. (*J.B.B. Investment Partners Ltd. v. Fair* (2019) 37 Cal.App.5th 1, 9.)

Defendants concede that the bill of sale could be considered part of the contract between Plaintiff and DAVID. That bill of sale, signed by DAVID, stated that the Vessel was being "sold free and clear of all liens, mortgages, and other encumbrances of any kind or nature."

In addition to the bill of sale, the 2AC includes allegations about the admiralty lien asserted by the Marina after the Vessel's sale [¶29], which the federal court's order in the admiralty lien case found to encompass necessities provided to the vessel both before and after the sale. [Defendants' request for judicial notice, Exhibit 5].

The allegations suffice to meet the minimum necessary to allege a breach of contract and provide notice to DAVID. The court therefore overrules the demurrer by DAVID to the breach of contract cause of action.

Fraudulent Concealment and Negligent Misrepresentation As to the fraud-based causes of action, each of the elements of such causes of action must be alleged with specificity including who said what to whom at what time. (*Morgan v. AT&T Wireless Services, Inc.* (2009) 177 Cal.App.4th 1235, 1261-1262.)

The elements of fraudulent concealment include knowledge by the defendant of a material fact not they did not disclose to the plaintiff, causing the plaintiff to lose something in reasonable reliance. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 868.)

Negligent misrepresentation consists of some of the same elements, although requiring an express representation of a fact that was not true, by one who had no reasonable ground for believing the representation to be true. (See CACI 1903; *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 781.)

In general, the elements of any fraud-based cause of action must be pled with specificity.

Fraud allegations “ ‘involve a serious attack on character’ ” and therefore are pleaded with specificity. (*Hills Trans. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal. App.2d 702, 707 [72 Cal. Rptr. 441].) General and conclusory allegations are insufficient. (Lazar, at p. 645.) The particularity requirement demands that a plaintiff plead facts which “ “show how, when, where, to whom, and by what means the representations were tendered.” ” (Ibid.) *Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469.

Other than contending that an unresolved status of the UD action was not disclosed prior to the sale, and alleging MITCHELL expressed his belief that the Marina would give LADY BENJAMIN 45-60 days to move the vessel and possibly more if she was showing progress, Plaintiff’s 2AC contains no additional specific allegations against either DAVID or MITCHELL to support fraud or negligent misrepresentation. (2AC ¶¶ 26, 38, 39.)

The court takes judicial notice of its own minute order dated January 24, 2023, reflecting recitation of a UD settlement agreement between DAVID and Marina and a stipulated judgment filed February 1, 2023. (FCM178794.) Plaintiff’s 2AC also alleges this settlement and payment and that DAVID transferred title to Plaintiff on January 27, 2023. (2AC ¶¶ 23, 24.) Further, Plaintiff alleges that MITCHELL spoke with Mark Cefalu (the Marina’s attorney) and requested 60 days to permit Plaintiff time to remove the vessel to which Cefalu agreed. (2AC ¶ 21.)

However, the 2AC does not allege with specificity that DAVID and/or MITCHELL had reason to know that the Marina would later assert an admiralty lien for necessities provided for the vessel for a time period before and after the transfer of title of the vessel to Plaintiff.

As to negligent misrepresentation, paragraphs 44 and 45 of the second amended complaint alleged “Defendants negligently made false representations regarding the status of the UD Action and Plaintiff’s rights to possession of the vessel”, and “Defendants owed a duty of care to Plaintiff to provide accurate information regarding the vessel’s title and possession status.”

Nothing about the state UD action impacted Plaintiff’s ownership or possession of the vessel. The Marina’s federal admiralty claim is not a state UD matter. Ultimately, the arrest of the vessel based upon maritime law that permits a secret lien to exist appears to have resulted in Plaintiff’s deprivation of the vessel.

Neither of the fraud-based causes of action contains factual allegations with the specificity required by law.

The court therefore sustains the demurrer by DAVID and MITCHELL to the cause of action for fraudulent concealment and negligent misrepresentation.